

Strides for Multifaceted Growth

INTERIM FINANCIAL
STATEMENTS
FOR THE PERIOD ENDED
31ST DECEMBER 2023



Arpico Insurance PLC
Interim Financial Statements - Quarter 4 - 2023

Income Statement

For the period ended 31 December	Note	Un Audited 2023 LKR	Audited 2022 LKR
Gross Written Premium	4	2,228,510,379	2,318,578,356
Premium ceded to reinsurers	5	(95,665,798)	(71,539,608)
Net written premium		2,132,844,581	2,247,038,748
Other revenue			
Fees and commission income		29,250,347	50,077,425
Investment income	6	605,433,988	452,057,515
Fair value gains		19,792,053	14,011,738
Net unrealized gains		-	4,601,930
Other operating revenue		4,604,120	31,077,813
Total Other revenue		659,080,508	551,826,421
Total net revenue		2,791,925,089	2,798,865,169
Benefits, claims and expenses			
Net Insurance Benefits and Claims Paid		(1,395,894,780)	(860,031,040)
Net change in insurance claims outstanding		(35,595,687)	13,762,008
Underwriting and net acquisition costs		(528,946,340)	(630,173,632)
Change in contract liabilities - life fund		(591,733,659)	(408,860,708)
Other operating, administrative and selling expenses		(672,311,466)	(747,448,886)
Depreciation and amortisation		(121,839,775)	(80,920,951)
Total benefits, claims and expenses		(3,346,321,707)	(2,713,673,209)
Profit/(Loss) before Taxation		(554,396,618)	85,191,960
Income Tax Expense	8	(71,267,445)	(48,955,682)
Profit/(Loss) for the Period	9	(625,664,063)	36,236,278
Profit/(Loss) attributable to:			
Equity holders of the Company		(625,664,063)	36,236,278
Basic Earning per Share (LKR)		(9.45)	0.55
Diluted Earning per Share (LKR)		(9.45)	0.55

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Statement of Other Comprehensive Income

For the period ended 31 December	Un Audited 2023 LKR	Audited 2022 LKR
Profit/(Loss) for the Period	(625,664,063)	36,236,278
Other Comprehensive Income/(Loss)		
Net change in fair value of available-for-sale financial assets	126,971,173	(254,151,729)
Net change in fair value of AFS reserve transferred to insurance Liabilities	52,270,837	64,004,427
Items that will never be reclassified to profit or loss		
Actuarial loss on defined benefit plan		83,360
Total Other comprehensive income, net of tax	<u>179,242,010</u>	<u>(190,063,942)</u>
Total comprehensive Income/(Loss) for the Period, Net of Tax	<u>(446,422,053)</u>	<u>(153,827,664)</u>

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Income Statement

For three months ended 31 December	Note	Un Audited 2023 LKR	Un Audited 2022 LKR
Gross Written Premium		487,609,157	635,300,571
Premium ceded to reinsurers		(16,524,488)	(24,699,272)
Net written premium		471,084,669	610,601,299
Other revenue			
Fees and commission income		4,070,720	21,073,059
Investment income		161,773,453	136,748,046
Fair value gains		4,724,251	6,363,434
Other operating revenue		478,561	1,355,751
Total Other revenue		171,046,985	165,540,290
Total net revenue		642,131,654	776,141,589
Benefits, claims and expenses			
Net Insurance Benefits and Claims Paid		(333,113,766)	(276,684,252)
Net change in insurance claims outstanding		(32,137,060)	-
Underwriting and net acquisition costs		(88,226,611)	(159,424,235)
Change in contract liabilities - life fund	7	105,194,149	(135,072,992)
Other operating, administrative and selling expenses		(170,059,968)	(123,874,768)
Depreciation and amortisation		(47,653,121)	(22,400,405)
Total benefits, claims and expenses		(565,996,377)	(717,456,652)
Profit/(Loss) before Taxation		76,135,277	58,684,937
Income Tax Expense		(19,225,750)	-
Profit/(Loss) for the Period		56,909,527	58,684,937
Profit/(Loss) attributable to:			
Equity holders of the Company		56,909,527	58,684,937
Basic Earning per Share (LKR)		0.86	0.89
Diluted Earning per Share (LKR)		0.86	0.89

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Statament of Other Comprehensive Income

For three months ended 31 December	Un Audited 2023 LKR	Un Audited 2022 LKR
Profit/(Loss) for the Period	56,909,527	58,684,937
Other Comprehensive Income/(Loss)		
Net change in fair value of available-for-sale financial assets	319,493,058	(1,160,513)
Net change in liabilities of insurance contracts arising from fair	-	
Net change in fair value of AFS reserve transferred to insurance Liabilities	2,455,025	2,800,957
Items that will never be reclassified to profit or loss		
Total Other comprehensive income, net of tax	321,948,083	1,640,444
Total comprehensive Income/(Loss) for the Period, Net of Tax	378,857,610	60,325,381

STATEMENT OF FINANCIAL POSITION

As at	Note	Un Audited 31.12.2023 LKR	Audited 31.12.2022 LKR
Assets			
Intangible assets		767,227	1,118,327
Property, plant and equipment		60,735,717	75,284,032
Right of use assets	10	179,609,916	163,439,549
Financial assets	11	3,952,994,940	3,681,717,640
Loans to life policyholders		246,427,310	321,812,161
Reinsurance receivables		8,588,850	1,902,666
Amounts due from related parties	13	6,375,543	21,654,039
Premium receivable		72,019,411	99,334,584
Other assets		191,544,879	83,994,218
Cash and cash equivalents		124,723,794	169,799,679
Total Assets		4,843,787,587	4,620,056,895
Equity and Liabilities			
Equity			
Stated capital	16	675,564,870	675,564,870
Retained earnings		832,782,639	1,458,445,721
Available for sale reserves		(37,451,923)	(216,692,952)
Total Equity		1,470,895,586	1,917,317,639
Liabilities			
Insurance contract liabilities	12	2,885,863,000	2,241,859,388
Employee benefit obligation		15,076,444	17,057,855
Reinsurance payables		37,703,739	32,402,323
Lease liabilities	10	192,952,529	175,394,254
Amounts due to related parties	13	37,894,153	30,795,272
Other financial liabilities		69,854,273	117,550,937
Other liabilities		133,547,863	87,679,227
Total Liabilities		3,372,892,001	2,702,739,256
Total Equity and Liabilities		4,843,787,587	4,620,056,895

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.

Sgd.

S.H.Dulanjith Kaweesha

Finance Controller

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.

Sgd.

Ramal Jasinghe

Chairman

4, April 2024

Colombo.

Sgd.

Kelum Senanayake

Director / Chief Executive Officer

Arpico Insurance PLC
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STATEMENT OF CHANGES IN EQUITY

	Stated Capital	AFS Reserve	Retained Earnings	Total
	LKR	LKR	LKR	LKR
Audited Balance as at 01 January 2022	675,564,870	(26,545,650)	1,422,126,083	2,071,145,303
Profit for the period			36,236,278	36,236,278
Actuarial loss on defined benefit plan			83,360	83,360
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		(190,147,302)		(190,147,302)
Total Comprehensive Income for the Period, Net of Tax				
Audited Balance as at 31st December 2022	675,564,870	(216,692,952)	1,458,445,721	1,917,317,639
Profit/(Loss) for the period			132,929,418	132,929,418
Actuarial loss on defined benefit plan				-
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		192,522,760		192,522,760
Total Comprehensive Income for the Period, Net of Tax				
Unaudited Balance as at 30 September 2023	675,564,870	(24,170,192)	1,591,375,139	2,242,769,817
Profit/(Loss) for the period			(758,592,500)	(758,592,500)
Actuarial loss on defined benefit plan				-
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		(13,281,731)		(13,281,731)
Total Comprehensive Income for the Period, Net of Tax				
Unaudited Balance as at 31 December 2023	675,564,870	(37,451,923)	832,782,639	1,470,895,586

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STATEMENT OF CASH FLOWS

For the period ended 31 December	Un Audited 2023 LKR	Audited 2022 LKR
Cash flows from operating activities		
Insurance premium received	2,257,621,780	2,281,713,866
Reinsurance premium paid	(91,493,796)	(109,138,684)
Insurance benefits and claims paid	(1,401,214,703)	(926,265,262)
Reinsurance claim received	(6,686,184)	66,234,222
Other operating cash flows	(1,226,772,814)	(1,139,599,306)
Cash generated from operating activities	(468,545,717)	172,944,836
Tax Paid	(27,195,123)	-
Employee benefits paid	(10,586,851)	(5,299,920.00)
Net cash generated from operating activities	(506,327,691)	167,644,916
Cash flows from investing activities		
Acquisition of financial investments	(627,864,136)	(2,043,004,255)
Proceeds from sale/maturity of investment securities	582,972,439	1,714,633,025
Interest/Dividend received	605,433,988	333,267,817
Acquisition of property, plant and equipment	(106,940,360)	(44,226,344)
Net Cash Used in Investing Activities	453,601,931	(39,329,757)
Net Cash Flows Before Financing Activities	(52,725,760)	128,315,159
Cash flows from financing activities		
Rent Advance/ payments paid for Right of Use Assets	7,649,873	(108,530,662)
Net cash used in financing activities	7,649,873	(108,530,662)
Net increase / (Decrease) in cash and cash equivalents	(45,075,887)	19,784,497
Cash and cash equivalents at the beginning of the year	169,799,681	150,015,184
Cash and cash equivalents at the end of the period	124,723,794	169,799,681

Notes to the Financial Statements

1. Reporting Entity

Arpico Insurance PLC ("Company") is a Public limited liability company incorporated and domiciled in Sri Lanka and the ordinary shares of the company are listed on the stock exchange. The company is registered under the Insurance Industry Act No.43 of 2000 and amendments there to. The registered office of the company is located at 310, High level Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

2. Approval of Financial Statements

The Unaudited Condensed Consolidated Interim Financial Statements for the quarter ended 31 December 2023 were authorised for issue by the Board of Directors on 4th April 2024.

3. Basis of Preparation

The Financial Statements of the Company have been prepared on an accrual basis under the historical cost convention and applied consistently with no adjustment being made for inflationary factors affecting the Financial Statements except for the financial assets available for sale and financial assets designated at fair value through profit or loss which are measured at fair value and investment properties valued at fair value.

The Condensed Consolidated Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard "LKAS 34 – Interim Financial Reporting". These Interim Financial Statements should be read in conjunction with the Annual Financial Statements for the year ended 31 December 2023. Furthermore, provisions of the Companies Act No. 07 of 2007 have been considered in preparing the Condensed Consolidated Interim Financial Statements of the Company.

The same accounting policies have been followed in preparation of these Interim Financial Statements as stated in the Audited Financial Statements for the year ended 31 December 2023.

4. Gross Written Premium

	Un Audited 2023 LKR	Audited 2022 LKR
For the Period Ended 31 December		
First year premium	722,173,066	1,060,387,844
Renewal premium	1,008,716,961	1,084,782,385
Group premium	497,620,352	173,408,127
	<u>2,228,510,379</u>	<u>2,318,578,356</u>

5. Premium Ceded To Reinsurers On Insurance Contracts

	Un Audited 2023 LKR '000	Audited 2022 LKR '000
For the Period Ended 31 December		
Conventional policies		
Total premium ceded to reinsurers	<u>95,665,798</u>	<u>71,539,608</u>
Total net written premium	<u>2,132,844,581</u>	<u>2,247,038,748</u>

Notes to the Financial Statements

6. Investment income

For the Period Ended 31 December	Un Audited 2023 LKR	Audited 2022 LKR
Held to maturity financial assets		
Interest Income	181,797,922	118,515,245
Loans and receivables		
Interest Income	374,768,268	277,071,126
Available For Sale Financial Assets		
Interest Income	48,867,798	37,798,638
Dividend income	-	18,672,506
	<u>605,433,988</u>	<u>452,057,515</u>

7. Change in contract liabilities - life fund

Deficit transfer for 3 months period ended 31-12-2023 has not been adjusted to income statement prepared the 3 months.

8. Income Tax Expense

For the Period Ended 31 December	Un Audited 2023 LKR	Audited 2022 LKR
Income tax on current period profit	71,267,445	48,955,682
Total current income tax	<u>71,267,445</u>	<u>48,955,682</u>

9. Profit/(Loss) from life insurance

Our appointed actuary conducted a draft assessment based on the draft financial statements. As per the draft valuation the deficit of Rs. 815,502,027/= has been transferred to the life insurance fund as at 31-12-2023.

10. Right of Use Assets

As at	Un Audited 31.12.2023 LKR	Audited 31.12.2022 LKR
Opening balance	163,439,549	129,675,417
Additions of right of use lease asset during the period	108,685,736	78,880,660
Depreciation for the period	(97,834,500)	(68,236,528)
Advance payment for leases	5,319,131	23,120,000
Closing balance	<u>179,609,916</u>	<u>163,439,549</u>

Lease liabilities

As at	Un Audited 31.12.2023 LKR	Audited 31.12.2022 LKR
Opening balance	175,394,254	157,443,360
Additions during the period	108,685,736	78,880,659
Finance cost recognised in profit and loss	58,719,382	24,480,897
Lease payments	(149,846,843)	(85,410,662)
Closing balance	<u>192,952,529</u>	<u>175,394,254</u>

Notes to the Financial Statements

11. Financial Assets

As at	Un Audited 31.12.2023 LKR	Audited 31.12.2022 LKR
Loans and receivables (10.1)	2,227,104,004	2,153,718,672
Available-for-sale financial assets (10.2)	516,508,001	307,925,670
Held to Maturity (10.3)	1,091,046,902	1,130,191,222
Fair Value through profit & Loss (10.4)	118,336,033	89,882,076
	3,952,994,940	3,681,717,640

11.1 Loans and receivables

	Un Audited 31.12.2023 LKR	Audited 31.12.2022 LKR
Amortised cost		
Debentures	668,089,655	794,531,247
Fixed deposit	1,116,375,226	784,289,965
Reverse repurchase agreements	242,836,584	404,752,229
RPAF loan	99,148,397	100,000,000
Treasury bills	100,654,142	70,145,231
	2,227,104,004	2,153,718,672

Available-for-sale financial assets

	Un Audited 31.12.2023 LKR	Audited 31.12.2022 LKR
11.2 Treasury bonds	281,639,563	192,297,670
Quoted equities	234,868,438	115,628,000
	516,508,001	307,925,670

11.3 Held to Maturity

	Un Audited 31.12.2023 LKR	Audited 31.12.2022 LKR
Treasury bonds	1,091,046,902	1,130,191,222
	1,091,046,902	1,130,191,222

11.4 Fair Value through profit & Loss

	Un Audited 31.12.2023 LKR	Audited 31.12.2022 LKR
Unit trust	118,336,033	89,882,076
	118,336,033	89,882,076

12. Insurance Contract Liabilities

As at	Un Audited 31.12.2023 LKR	Audited 31.12.2022 LKR
Balance as at 1 January	2,241,858,505	1,897,003,107
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	(223,768,369)	277,169,203
Surplus transferred from / (to) shareholders	815,502,027	131,691,505
Increase in life insurance fund	2,833,592,163	2,305,863,815
Movement in AFS reserve transferred to life fund	52,270,837	(64,004,427)
Life Insurance Fund balance as at period end	2,885,863,000	2,241,859,388

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13. Related Party Transactions

13.1 Amounts Due to Related Party

As at		Un Audited 31.12.2023 LKR	Audited 31.12.2022 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	-	10,782,831
Richard Pieris Distributors Limited	Fellow Subsidiary	37,894,153	19,656,828
Arpico Interiors (Pvt) Ltd	Fellow Subsidiary	-	179,475
Arpitech (pvt) Ltd	Fellow Subsidiary	-	176,138
		<u>37,894,153</u>	<u>30,795,272</u>

13.2 Amounts Due From Related Parties

As at		Un Audited 31.12.2023 LKR	Audited 31.12.2022 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	6,375,543	3,651,383
Richard Pieris Distributors Limited	Fellow Subsidiary		18,002,656
		<u>6,375,543</u>	<u>21,654,039</u>

14. Contingent Liabilities

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31 December 2023, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

15. Events Occurring After The Reporting Date

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

16. Stated Capital

As at 30 September	Un Audited 2023 LKR	Audited 2022 LKR
Ordinary Shares	675,564,870	675,564,870
	<u>675,564,870</u>	<u>675,564,870</u>
No of Ordinary Shares	66,230,407	66,230,407

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17. Share Information

17.1 Net Assets Per Share

As at 31 December	Un Audited 2023 LKR	Audited 2022 LKR
Net Assets Per Share	22.21	31.20

17.2 Market Price Per Share

For the quarter ended 30 December	2023 LKR	2022 LKR
Highest Price	22.50	23.40
Lowest Price	22.50	17.50
Closing Price	22.50	22.70
Market Capitalization	1,688,875,379	1,503,430,239
Float Adjusted Market capitalization	169,075,302	150,510,171

18. Public Shareholding

For the quarter ended 31 December	2023 No of Shares	%	2022 No of Shares	%
Public Shareholding	6,630,404	10%	6,630,404	10%

19. Directors' Shareholding

As at 31 December	2023	2022
Mrs. Lasinee Serasinhe	Nil	Nil
Mr. Ramal Jasinghe	Nil	Nil
Mr. Shiron Gooneratne	Nil	Nil
Mrs. Dilukshika Fernando	Nil	N/A

20. Twenty Largest Shareholders as at 31 December 2023

Name of Shareholder	No of Shares	%
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29%
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86%
3 RICHARD PIERIS AND CO LTD - ACCOUNT NO. 01	15,125,001	22.84%
4 MR.D.G.WIJEMANNA	1,626,000	2.46%
5 MRS.T.T.A.DE SILVA WEERASOORIA	994,677	1.50%
6 MR.C.S.N.SILVAPULLE	668,399	1.01%
7 MR.J.P.PAUL	252,285	0.38%
8 T R L HOLDINGS (PVT) LIMITED	250,000	0.38%
9 MR.A.P.ARUMUGAMPILLAI	200,000	0.30%
10 MR.D.P.NAVARATNAM	194,000	0.29%
11 MR.B.T.DE S WEERASOORIA	152,778	0.23%
12 MR.T.A.N.GOMIS	148,685	0.22%
13 PEOPLES LEASING & FINANCE PLC/MR.K.J. GAMAGE	135,261	0.20%
14 MR.S.A.OBEYESEKERE	103,300	0.16%
15 TRADING PARTNERS (PVT) LTD	100,000	0.15%
16 CF0025 FLYBRUNEI SDN BHD	99,700	0.15%
17 MR.M.L.A.BENEDICT	93,500	0.14%
18 PEOPLES LEASING & FINANCE PLC/MR.K.	86,531	0.13%
19 MR.S.C.WEERASOORIA	80,342	0.12%
20 MR.H.A.S.MADANAYAKE	78,300	0.12%
Others	64,863,761	97.94%
Total	1,366,646	2.06%
	66,230,407	100.00%